INTERNATIONAL MONETARY FUND

GUINEA-BISSAU

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REQUEST FOR A NINE-MONTH STAFF MONITORED PROGRAM—DEBT SUSTAINABILITY ANALYSIS

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Prepared jointly by the Staffs of the International Monetary Fund and the International Development Association [1, 2]

Guinea-Bissau: Joint Bank-Fund Staff Debt Sustainability Analysis	
Risk of external debt distress	*High*
Overall risk of debt distress	*High*
Granularity in the risk rating	*Sustainable*
Application of judgment	*Yes. The external rating has been downgraded from "Moderate" to "High" to reflect vulnerabilities from high overall public debt and substantial downside risks to the baseline scenario.*

Guinea-Bissau's risks of external and overall debt distress remain high, in line with the February 2021 DSA. Real GDP contracted by an estimated 1.4 percent in 2020 as the global economic slowdown weighed on cashew nut exports and foreign direct investment, and COVID-19 lockdown measures hindered domestic non-cashew activity and retail trade. Together with higher health and social spending, this opened exceptionally large balance of payments and fiscal gaps which were addressed mainly by increased recourse to non-concessional domestic borrowing. As a result, the ratio of public debt to GDP increased by 13.4 percentage points in 2020.

The macroeconomic outlook underpinning the DSA assumes a gradual economic recovery in 2021-22 and sustained growth in the medium-term supported by the anticipated rebound of international cashew markets, favorable terms of trade, a more stable socio-political environment, significant governance and structural reforms as well as fiscal consolidation efforts creating fiscal space for higher social spending and steady growth-enhancing public investment.

[1] The previous DSA was dated February 1, 2021 (IMF Country Report No. 21/29) and accompanied the Guinea-Bissau's Rapid Credit Facility (RCF) request.

[2] The DSA compares the evolution of debt-burden indicators against thresholds and benchmarks pre-determined by the country's debt-carrying capacity. This capacity is classified as weak for Guinea-Bissau (Para.14).

The present value (PV) of public and publicly guaranteed (PPG) debt relative to GDP exhibits a prolonged and substantial breach of its indicative benchmark. However, considering that (i) the country benefits from WAEMU currency union safeguards that provide for financial and technical support from the regional debt market institutions and larger regional members with strong debt carrying capacity; (ii) the PV of public debt shows a consistent downward trend from 2021 onwards under the baseline scenario, and (iii) the external DSA indicators for extra-regional debt are consistent with sustainability (in the sense of remaining below the thresholds over the medium-term), public debt is assessed as sustainable on a forward-looking basis.

This conclusion is contingent on the authorities' strong commitment to an ambitious, yet feasible, fiscal adjustment aiming to bring the fiscal deficit within the 3 percent of GDP WAEMU convergence criterion by 2025, supported by a Fund's Staff Monitored Program (SMP) possibly followed by an Extended Credit Facility (ECF) in the first half of 2022, together with multilateral grants and concessional financing. The downward trend of the baseline debt indicators would further improve with full multilateral donor re-engagement and a reprofiling of debt obligations to highly concessional terms.

The debt outlook remains highly vulnerable to a weaker economic recovery, adverse terms-of-trade and export shocks as well as the materialization of contingent liabilities (as coverage of public debt is limited). A relapse into socio-political turmoil in this fragile country could undermine the authorities' long-term adherence to macroeconomic stability and prudent fiscal policies. If realized, all these downside risks could lead to higher external and public debt indicators and put into question debt sustainability.

BACKGROUND

A. Public Debt Coverage

1. The perimeter of public debt is limited to the central government, the central bank and government-guaranteed debt, and excludes state-owned enterprises (SOEs) due to data limitations (Text Table 1). In general, SOEs are not likely to represent a major contingent public liability. A notable exception is the electricity and water utility (EAGB) that has non-publicly guaranteed debts estimated at 2.5 percent of GDP. An accurate assessment might become possible with EAGB's reform plan advancing with WB support.[3]

2. The DSA is conducted on a currency basis. In line with past Guinea-Bissau's DSAs and practice for

[3] Government clearance of EAGB debt amounted to CFAF 6.6 billion in 2017, CFAF 2.5 billion in 2018 and CFAF 5.9 billion in 2019. In 2020 that amount was estimated at CFAF 3.6 billion. Also, in 2020, the government guaranteed a CFAF 5.8 billion loan to EAGB as part of an 8-years debt service restructuring agreement with a local commercial bank. EAGB has been strictly complying with the debt amortization schedule. This guarantee is included in the DSA. EAGB is with WB support implementing a Management Improvement Plan and a financial restructuring plan. It is expected that both will yield by end-2021 a more accurate assessment of the utility's stock of debt upon which consider the extension of DSA debt coverage.

most WAEMU countries[4], debt in domestic currency is treated as domestic debt for the purpose of this DSA. This includes debt issued in CFAF in the regional market. The stock of such treasury securities (held by both local and regional banks) at end-2020 was CFAF 140.1 billion, equivalent to 31.5 percent of domestic debt or 17 percent of GDP. Debt in CFAF to the West African Bank for Development (BOAD) is also treated as domestic debt (18.6 percent of GDP at end-2020).

Text Table 1. Guinea-Bissau: Public Debt Coverage Under the Baseline Scenario

Subsectors of the public sector	Sub-sectors covered
Central government	X
State and local government	
Other elements in the general government	
o/w: Social security fund	
o/w: Extra budgetary funds (EBFs)	
Guarantees (to other entities in the public and private sector, including to SOEs)	X
Central bank (borrowed on behalf of the government)	X
Non-guaranteed SOE debt	

B. Debt Developments

3. Guinea-Bissau's public debt burden rose in 2020 to 79.3 percent of GDP. The ratio of public debt to GDP increased by an estimated 13.4 percentage points with respect to 2019 with the need to borrow, mainly from domestic sources, to address the sharp deterioration of the government deficit (on commitment basis from 3.9 percent of GDP in 2019 to 9.5 percent in 2020), along with negative real GDP growth (estimated at -1.4 percent in 2020).

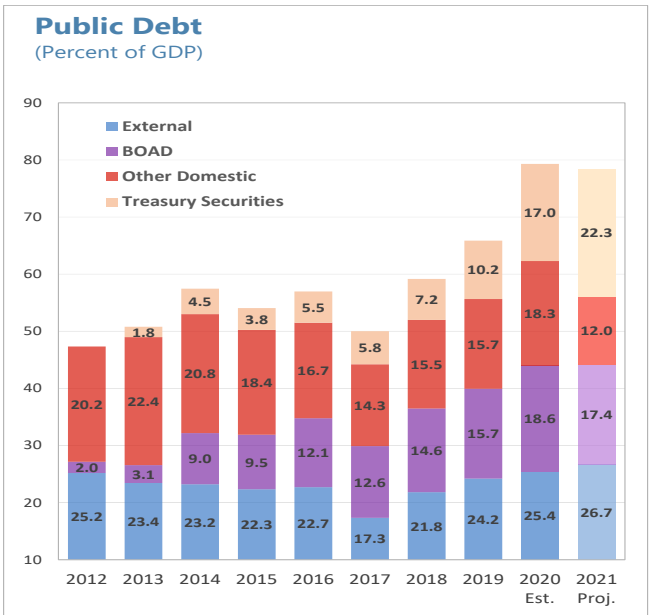
Text Table 2. Guinea-Bissau: Total Public Debt

	2018 Act.	2019 Act.	2020 Prel.	2021 Proj.	2018 Act.	2019 Act.	2020 Prel.	2021 Proj.
	(Billions of CFAF)				*(Percent of GDP)*			
Central Government Debt	**494.6**	**555.6**	**653.4**	**685.2**	**59.2**	**65.9**	**79.3**	**78.4**
External	**182.5**	**204.2**	**209.2**	**233.2**	**21.8**	**24.2**	**25.4**	**26.7**
Multilateral	115.7	135.8	147.0	172.9	13.8	16.1	17.8	19.8
IMF	19.3	18.5	15.8	36.2	2.3	2.2	1.9	4.1
IDA	48.5	69.1	79.6	83.6	5.8	8.2	9.7	9.6
AfDB	19.7	23.8	23.8	25.1	2.4	2.8	2.9	2.9
Others (IDB, BADEA, IFAD, etc)	28.2	24.3	27.8	27.9	3.4	2.9	3.4	3.2
Bilateral	66.8	68.4	62.2	60.4	8.0	8.1	7.5	6.9
Paris Club	2.0	2.0	1.9	1.6	0.2	0.2	0.2	0.2
Non-Paris Club[1]	64.8	66.3	60.3	58.8	7.8	7.9	7.3	6.7
of which Legacy Arrears [2]	22.4	22.8	20.8	20.3	2.7	2.7	2.5	2.3
Domestic	**312.1**	**351.4**	**444.3**	**452.0**	**37.3**	**41.7**	**53.9**	**51.7**
BOAD	122.5	132.7	153.4	152.1	14.6	15.7	18.6	17.4
Local Banking System	114.6	128.1	145.6	112.3	13.7	15.2	17.7	12.8
BCEAO	94.6	94.6	94.6	94.6	11.3	11.2	11.5	10.8
Loans local commercial banks	15.5	20.9	33.3	-	1.9	2.5	4.0	-
Treasury Securities held by local banks	4.5	12.5	17.7	17.7	0.5	1.5	2.1	2.0
Treasury Securities held by regional banks	55.4	73.7	122.4	177.0	6.6	8.7	14.9	20.3
Payment Arrears	15.4	13.1	12.3	-	1.8	1.5	1.5	-
Guarantees	4.2	3.9	10.6	10.6	0.5	0.5	1.3	1.2

Sources: Guinea-Bissau's authorities and IMF Staff estimates and projections.
[1] Non-Paris Club: Angola, Exim Bank of India, Kuwait, Libya, Pakistan, Saudi Fund, Exim Bank of Taiwan P.C.
[2] Legacy Arrears are due to Brazil and Russia as well as Angola and Pakistan.

[4] Debt in CFAF to BOAD was treated as domestic debt for Benin, Cote d'Ivoire, Senegal and Togo, and as external debt for Burkina Faso, Mali and Niger in the published DSA, as of end-June 2021. Data constraints on WAEMU's secondary market trading make a full residency-based coverage challenging.

4. Non-concessional domestic borrowing increased significantly on the back of unprecedented financing needs fueled by the impact of the COVID-19 crisis (Text Table 2). Central government domestic currency debt amounted to 53.9 percent of GDP at end-2020, up from 41.7 percent at end-2019. The largest source of net borrowing was Treasury securities, the stock of which rose by 6.8 percentage points of GDP, with the bulk purchased by commercial banks from elsewhere in the WAEMU region. Debt to BOAD rose by 2.9 percentage points of GDP in 2020 due to two COVID-related program loans.



Sources: Guinea-Bissau authorities and IMF staff calculations.

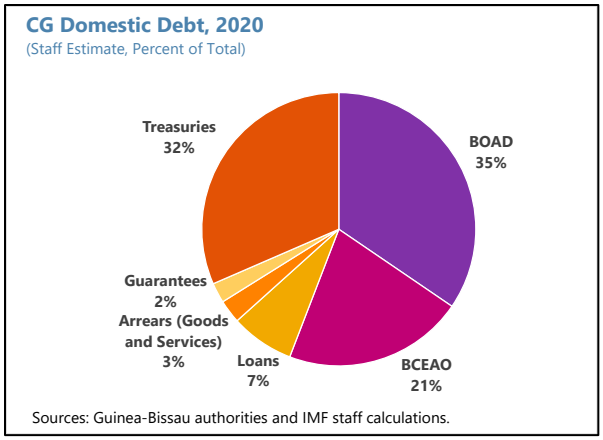
5. External concessional borrowing increased slightly to preserve investments despite the shock. The stock of external debt increased by 1.2 percentage points to 25.4 percent of GDP at end-2020, with all new borrowing on concessional terms. The main source of external concessional borrowing since 2017 is the World Bank through large regional telecommunications and energy projects as well as national projects to support rural transportation.[5] Altogether, multilaterals held 70 percent of Guinea-Bissau's external debt at end-2020. The remaining external debt was bilateral, mainly to non-Paris Club creditors and includes legacy arrears (2.5 percent of GDP) that the authorities are seeking to resolve.[6]

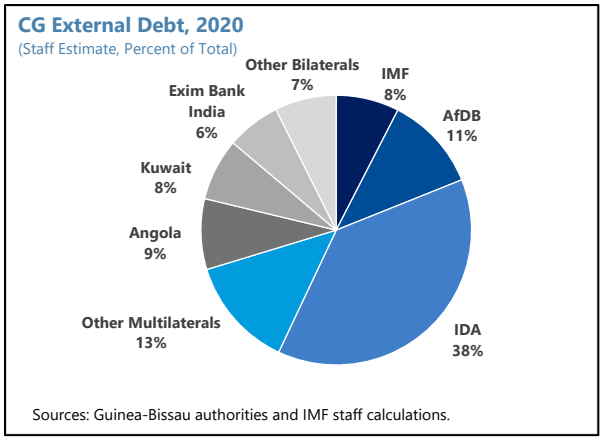
6. A large pipeline of contracted project loans remains undisbursed. The stock of contracted but undisbursed debt amounted to CFAF 175 billion (21 percent of GDP) at end-2020, about half of which stems from concessional loans contracted with the World Bank[7] and a quarter from non-concessional BOAD loans. The existence of such a large portfolio reflects weaknesses along the public investment management cycle, from initial identification to integration into annual and medium-term budget frameworks. Even if loan documents assumed rapid implementation, capacity constraints, lack of budgetary allocation for government co-financing and disbursements held due to debt service arrears have entailed implementation delays.

[5] World Bank national operations also include projects to support food security, improve health service delivery, enhance the quality of education, and boost social safety nets. These operations are all grants.

[6] Guinea-Bissau has external arrears, totaling US$38.55 million at end-2020 to Angola, Brazil, Russia, and Pakistan for longstanding debts that were not covered in the HIPC process and that are eligible for debt relief. The government has actively sought debt rescheduling agreements with all debtors. In 2017, Guinea-Bissau secured extensive debt relief on arrears of US$43.2 million to Taiwan P.C. In 2018, a debt rescheduling agreement was reached with Libya for arrears of US$6.9 million with limited net debt relief. The restructuring of debt to Brazil (US$1.9 million) is awaiting the approval of the Brazilian Senate. A settlement has been negotiated with Russia (US$1.5 million) but the agreement is still pending signature. Negotiations continue with Angola (for US$32.9 million arrears) and Pakistan (US$2.2 million). This DSA includes some conservative repayment assumptions that will be revised once rescheduling agreements are reached.

[7] Annual net financial flows from the World Bank are expected to be large in 2021–41 at an average of US$16 million (or 0.5 percent of GDP).





7. Debt service has increased despite renewed efforts to reprofile debt. The ratio of debt service to revenue excluding grants increased from 67.4 percent in 2019 to 75.9 percent in 2020. To help alleviate the debt service burden, BOAD provided in 2020 a program loan equivalent to 7 percent of revenues and the IMF granted debt service relief through the Catastrophe Containment and Relief Trust (CCRT) amounting to 2 percent of revenues. Given the tight fiscal position brought about by the pandemic, the authorities sought further debt reprofiling.[8] The authorities also requested by end-2020 and again in 2021 to join the Debt Service Suspension Initiative (DSSI), which is expected to enhance debt sustainability prospects through the commitment to limit non-concessional borrowing to levels agreed under IMF programs and the World Bank's non-concessional borrowing policies and to disclose all public sector financial commitments involving debt.[9] Despite these efforts, Guinea-Bissau accumulated debt service arrears in 2020, which were mostly resolved in the first quarter of 2021.[10]

C. Macroeconomic Forecasts

8. The baseline scenario underpinning this DSA assumes a gradual economic recovery from the pandemic in 2021–22 (Text Table 3). GDP is estimated to have contracted by 1.4 percent in 2020 as the global economic slowdown weighed on cashew nuts exports and foreign direct investment while COVID-19 containment measures hindered domestic non-cashew activity and retail trade. A gradual economic recovery is forecasted in 2021-22, with GDP growth expected to reach 3.3 percent in 2021 assuming a phasing out of containment measures and the recovery of the international cashew market. Growth converges to the 5 percent potential by 2023 supported by favorable terms of trade, greater socio-political stability, governance and structural reforms as well as enhancements in the business environment, which

[8] The authorities eventually reached debt reprofiling agreements with Exim Bank of India in November 2020 for US$25 million and with BOAD in March 2021 for US$7.3 million.

[9] The impact of the DSSI on 2021 debt service projections has not been included in this DSA baseline scenario because the authorities declined to suspend the small debt service involved (0.7 percent of revenues) and some creditors did not respond.

[10] In 2018 external arrears amounted to US$0.33 million. In 2019 Guinea-Bissau accumulated US$2.3 million external and US$5 million debt service arrears to BOAD on the back of increased deficit and political instability. In 2020 US$1.8 million external and US$3 million debt service arrears to BOAD were reported.

jointly are expected to foster private activity. Average price inflation is projected to accelerate to 1.9 percent in 2021 from 1.5 percent in 2020 reflecting an increase in demand. The non-interest current account deficit is projected to widen slightly to 7.4 percent of GDP in 2021 reflecting a stable trade balance and lower private transfers.

Text Table 3. Guinea-Bissau: Key Macroeconomic Projections

(in percent of GDP, unless otherwise indicated)

	2019	2020 Prel.	2021 Proj.	Medium Term (first 5 years)	Long Term[1]
Real GDP growth (percent)					
Previous DSA	4.5	-2.4	3.0	4.8	5.0
Current DSA	4.5	-1.4	3.3	4.8	5.0
Primary fiscal balance					
Previous DSA	-2.8	-7.5	-2.6	-1.1	-0.9
Current DSA	-2.8	-7.8	-3.4	-1.7	-0.8
Non-interest current account balance					
Previous DSA[2]	-8.4	-9.5	-5.6	-3.7	-3.0
Current DSA	-8.4	-7.2	-7.4	-3.6	-3.1
External debt					
Previous DSA	25.3	27.1	27.9	23.0	16.2
Current DSA	24.2	25.4	26.7	21.9	14.1
Domestic debt					
Previous DSA	41.7	51.2	50.5	49.1	42.4
Current DSA	41.7	53.9	51.7	51.4	42.6

Source: Bissau-Guinean authorities and staff estimates.

[1] Covers the period 2027-41 for current DSA, 2026-40 for the previous DSA (CR 21/29 of February 1, 2021).

[2] Corrected to exclude interest payments to BOAD and regional bonds.

9. A significant fiscal adjustment during 2021–25 will support macro-stability while protecting social expenditure during the recovery from the crisis. Consistent with the authorities' commitment to consolidate and improve medium-term debt sustainability, an annual average of 1.1 percentage points of GDP adjustment in the domestic primary balance (commitment basis)[11] is projected over three years (in large part unwinding the one-off implications of the pandemic). About a third of this fiscal consolidation would come from revenue raising measures, including new taxes on telecommunications along with measures to enhance tax administration and compliance. Measures containing the growth of current spending, including continuing efforts to rationalize the public wage bill, will also support the fiscal consolidation. The authorities are committed to a spending floor to safeguard priority spending of the ministries of health (including the High Commissioner for COVID-19), education and other social sectors amounting to 5.7 percent of GDP.

10. Public debt is expected to decline in 2021 with lower net domestic borrowing. The authorities will continue to seek financing through treasury issuances. As a result, the stock of securities (held by local and regional commercial banks) is projected to further grow by 5.3 percentage points of GDP. On the other hand, the stock of other domestic debt sources is expected to fall in 2021. Debt with BOAD is projected to decrease by 1.2 percentage points of GDP with lower project disbursements. Debt to the regional central bank (BCEAO), loans from local commercial banks and domestic payment arrears are projected to jointly drop by 6.2 percentage points of GDP. By contrast, the stock of external debt is projected to rise by 1.3 percentage points of GDP driven by additional emergency assistance, including the IMF's Rapid Credit Facility disbursed in January.

11. Government medium-term investment-related borrowing is projected to prioritize concessional financing. Given the large pipeline of contracted yet undisbursed investment project loans, bringing down public debt would require spreading disbursements over the next nine years and downsizing some projects. Contracting of new loans is expected to be constrained during this period. Gross annual project disbursements from loans and grants are assumed to finance 80 percent of capital expenditure, which is expected to average 7.8 percent of GDP given the low absorption capacity. In the medium term, in line with the government's policy to prioritize low cost funding, project financing is

[11] The domestic primary balance is calculated by removing grants and foreign and BOAD financed capital spending from the primary balance.

expected to be provided mainly by multilateral external creditors on grant or concessional terms. Borrowing from BOAD, which is almost entirely non-concessional, is projected to decline significantly. The baseline assumes strengthened investment planning and execution to ensure value for money and better alignment with the budget process. Non-investment related financing needs are assumed to be filled in the medium term mostly by Treasury securities with longer maturities, with interest rates projected at 5.8 percent for 3-year bonds and 6.3 percent for 5-years bond, in line with the trend of improving financing conditions shown by auction results since 2017.

12. The macroeconomic outlook is highly uncertain, and risks are tilted to the downside. It is contingent on the pandemic subsiding globally and its effects moderated locally after mid-2021 due to containment measures and increasing access to vaccines. Failure to contain the disease would disrupt the cashew trade and business in general. Social tensions could erupt generating renewed political uncertainties. Financial stress in SOEs and banking fragilities, arising from high non-performing loans and undercapitalization of one systemically important bank, could generate contingent liabilities adding to fiscal pressures. On the external front, a weaker than projected recovery of international cashew nut prices would hamper economic growth and government revenues. On the upside, a faster containment of the pandemic would accelerate normalization of trade and revenue collection in addition to lower health expenditures.

13. The macroeconomic scenario is broadly realistic. The non-interest current account deficit in 2021-26 is projected to contribute to external debt accumulation, in line with the past five years dynamics. This driver of debt is expected to be offset by sustained growth, increased reliance on already committed grants (captured in the residual) and more favorable price developments (Figure 3). It is assumed that multilateral donors will prioritize grants disbursements considering the structural fragility of the country, its large development needs, and limited access to alternative sources as well as progress in fiscal consolidation and governance. The dynamics of total public debt are dominated by developments of the primary fiscal balance and real GDP growth. Both factors are expected to have a greater debt-containment effect than in the past, due to increased authorities' commitment to fiscal and governance reforms, as well as a stable political environment more conductive to growth. The projected 3-year adjustment in the primary deficit is larger than observed in historical data from LICs with Fund-supported programs (Figure 4). This is explained by the comparison with 2020, an exceptional year with excessive fiscal needs generated by the pandemic, so that 77 percent of the adjustment is already projected for 2021. Such significant adjustment is nonetheless feasible as it reflects the unwinding of pandemic-related effects materialized in 2020 (such as the drop in revenue due to lower cashew prices); and it would bring back the domestic primary balance to close to the level recorded in 2019. Actual fiscal results are however highly volatile in Guinea-Bissau[12]. Real GDP growth is projected to rise to 4 percent in 2022 consistent with a small fiscal multiplier (Figure 4), as presumed by a high import content of government spending and evidenced by essentially zero correlation between real GDP growth and changes in the fiscal primary balance since 2010.

[12] Past debt forecast errors are mostly explained by unexpected changes in the primary deficit driven by aleatory cashew campaigns, the impact of political instability on reform implementation and large investments. The country structural fragility accounts for the large difference in unexpected debt changes with respect to other low-income countries (LICs).

D. Country Classification and Determination of Stress Test Scenarios

14. Guinea-Bissau is assessed to have weak debt carrying capacity, unchanged from the February 2021 DSA. The Composite Indicator (CI) score for Guinea-Bissau is 2.54, based on data on macroeconomic indicators from the April 2021 WEO and from the 2019 Country Policy and Institutional Assessment (CPIA) of the World Bank, thus pointing to a weak debt-carrying capacity.

15. The magnitude of the combined contingent liability shock has been increased (Text Table 4). This DSA runs a stress test with a contingent liability shock of 6.5 percent of GDP instead of the default value of 2 percent. The shock mostly captures the potential liabilities related to the possible recapitalization needs of a systemic bank that does not meet the WAEMU's minimum capital requirements. The shock also reflects the potential fiscal costs of operational losses of the electricity utility (EAGB), contingent liabilities linked with increased public guarantees and the possibility of the domestic arrears being larger than what is already included in the debt stock (1.5 percent of GDP at end-2020). The current estimate builds on an audit that stills needs to be validated by the authorities.

Text Table 4. Guinea-Bissau: Combined Contingent Liabilities Shock

1	**The country's coverage of public debt**	The central government, central bank, government-guaranteed debt		
		Default	**Used for the analysis**	**Reasons for deviations from the default settings**
2	Other elements of the general government not captured in 1.	0 percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	6.5	Increased from 2 to 6.5 to reflect potential liabilities
4	PPP	35 percent of PPP stock	0.0	linked to public guarantees, bank recapitalisation
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5.0	needs, EAGB debt and domestic arrears.
	Total (2+3+4+5) (in percent of GDP)		11.5	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

DEBT SUSTAINABILITY

A. External Debt Sustainability Analysis

16. Guinea-Bissau's risk of external debt distress remains high, in line with the February 2021 DSA. The share of external debt remains relatively small at 25.4 percent of GDP at end-2020, and all external debt indicators remain below the relevant indicative thresholds throughout the projection period (2021–41) under the baseline scenario. Under the most extreme shock scenario (a temporary adverse export shock[13]), two debt burden indicators, the PV of debt-to-export ratio and the debt-service-to-exports ratio breach their indicative thresholds for three and two years respectively, implying a mechanical 'moderate' rating. However, Guinea-Bissau faces substantial additional vulnerabilities that are not captured by this mechanical rating and which justify a 'high' external risk rating. These include large downside risks to

[13] This stress test assesses the impact of nominal export growth set to its historical average (7.5 percent) minus 0.5 standard deviation (SD) instead of 0.3 SD (in the previous DSA) and 1 SD (default parameter, which amounts to 32.7 percent in Guinea-Bissau). This customization is consistent with the LIC DSF guidance note and justified by the country's history of large export fluctuations as well as the singularity of exports growth in 2019 (a terms-of-trade shock-induced 24.8 percent contraction) in 2020 (a pandemic-induced 25.3 percent contraction) and in 2021 (23.2 percent export growth projection). In this scenario, a 9 percent annual drop in exports both in 2022 and in 2023 (as opposed to 8.9 percent average export growth projected in the baseline) is enough to hinder the evolution of the debt burden indicators.

the macro baseline (Para. 12); high public debt, a large share of which is held by non-residents but denominated in CFAF, and hence not captured in the external DSA conducted on a currency basis; the structural vulnerabilities in the political domain; and the fact that the external DSA excludes private debt.

17. A tailored adverse commodity price stress test was designed to reflect Guinea-Bissau's vulnerability to cashew price fluctuations. It shows the debt sustainability prospects after a hypothetical 15 percent fall in cashew export prices in the first year of projection (Figure 1). Cashew prices amid the global slowdown in 2020 fell by 33 percent.

B. Public Debt Sustainability Analysis

18. Guinea-Bissau's overall risk of debt distress is assessed as high. The PV of total public debt-to-GDP ratio is above its indicative benchmark (35 percent) through 2041, a substantial and prolonged breach. Moreover, the medium-term increase in debt service up to 79 percent of revenues and grants in 2026 from 56.2 percent in 2020 despite the projected increase in revenues calls for efforts, as intended by the authorities, to seek debt reprofiling and take advantage of lower interest rates for new borrowing whenever market conditions allow.

19. Public debt sustainability is vulnerable to a commodity price shock. For this shock, the PV of debt-to-GDP ratio reaches 85 percent in 2027 and the debt service-to-revenue ratio rises to 104 percent in 2026.

CONCLUSIONS

20. Without significant and sustained fiscal adjustment and external support, Guinea-Bissau's debt is set to remain elevated, constraining development prospects. In 2020, the pandemic led to a sharp decline in exports and foreign direct investment and weighed heavily on domestic economic activity. Addressing the crisis required a strong response from the authorities to increase health, social spending and sustain the recovery. All of the above have resulted in unprecedented external and fiscal financing needs in 2020 mainly addressed by increased recourse to non-concessional domestic borrowing. The growing cost of debt service and the large wage bill constrain the fiscal space and the implementation of much needed social and infrastructure spending to progress in the achievement of the 2030 sustainable development goals (SDGs). Significant fiscal governance reforms as well as fiscal consolidation efforts are expected to help increase social spending and growth-enhancing public investment.

21. Public debt is considered sustainable on a forward-looking sense based on the support provided by the regional institutions with strong capacity to manage debt. Guinea-Bissau's external debt burden indicators for *extra-regional debt* are consistent with sustainability (in the sense of staying over the medium term below the thresholds for a country assessed to have a low debt-carrying capacity), but the PV of total public debt-to-GDP shows large and prolonged breaches of its indicative benchmark. Nonetheless, the country benefits from financial and technical support from the regional institutions and

debt markets and larger regional currency union members with stronger debt carrying capacity. [14] The supportive WAEMU context bolsters the country's capacity to carry domestic/regional debt beyond what is captured by the standard composite indicator. Taking this into consideration underpins the conclusion that Guinea-Bissau's public debt is sustainable on a forward-looking basis contingent on the authorities commitments in the context of an engagement with the Fund and other development partners, together with the assumption (see below) that policies are in place that would put debt on a robust downward trajectory.

22. Under staff's baseline scenario, Guinea-Bissau's public debt is brought back to a sustainable path, with overall public debt falling to 70 percent of GDP, the regional convergence criteria, by 2026. If the policy agenda is successfully executed, and barring a more protracted pandemic, total public debt would decline steadily from 79.3 percent of GDP estimated at end-2020 to 68.8 percent of GDP by 2026.

23. Achieving the baseline projection will require significant policy actions underpinned by a Fund program and strong multilateral donor engagement. Key policy actions include (i) vigorous fiscal consolidation efforts including revenue enhancement measures, containing current spending below nominal GDP growth, and continued implementation of growth-enhancing reforms; (ii) prudent borrowing policies, including avoidance of non-concessional project financing, in line with the DSSI commitments. ; (iii) enhanced debt management, with more rigorous compilation and monitoring of debts, upgraded procedures and publication of regular debt reports to improve transparency[15]; and (iv) improved management of the existing loan pipeline and application of recognized assessment procedures to ensure criticality of investment projects. The baseline debt dynamics could further improve with full donor re-engagement leading to (i) a significant scaling up of grants by multilateral institutions ; and (ii) a reprofiling of selected debt obligations to extend maturities and reduce interest rates.

24. There are significant downside risks to the baseline scenario, as strong and sustained political commitment is needed to deliver the envisaged medium-term fiscal adjustment embedded in the DSA. The debt outlook remains highly vulnerable to a weaker economic recovery, adverse terms-of-trade and export shocks as well as the materialization of contingent liabilities (as coverage of public debt is limited) and a relapse into socio-political turmoil. If realized, all these downside risks could lead to higher external and public debt burden indicators and increased risk of accumulation of arrears.

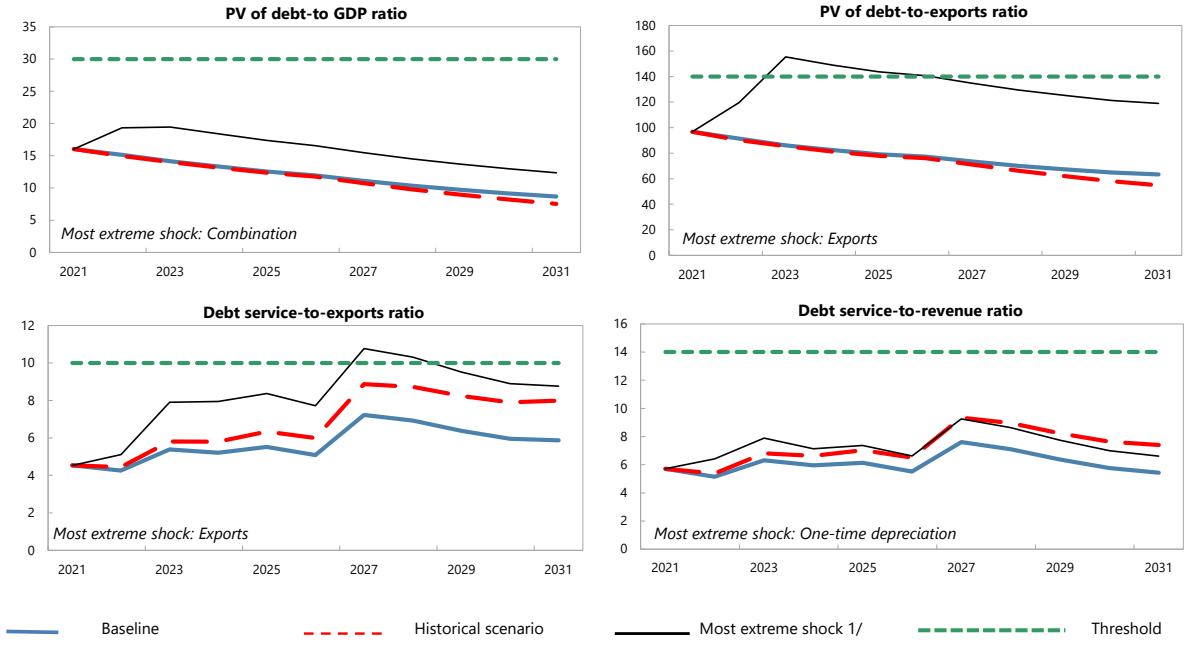
[14] WAEMU currency union regional institutions manage both the debt issued by Guinea-Bissau in the regional sovereign treasury securities market (UMOA-titres) as well as the debt held by the central bank (BCEAO). These two components account for 52 percent of Guinea-Bissau's domestic debt at end-2020. Moreover, Guinea-Bissau's borrowing through WAEMU sovereign securities market is expected to account for an insignificant share of available regional financing to the 8 countries in this currency union.

[15] The authorities are expected to fully deploy the new Debt Management and Financial Analysis system (DEMFAS) in 2021 to upgrade their current limited debt monitoring and reporting capacity and publish a comprehensive debt report every year. It is expected that debt management would be strengthened by the approval by the Council of Ministers of decrees related to the creation of a National Committee of Debt Policy; the organization and functioning of the Debt Directorate; and the issuance of debt and debt management. The authorities will also undertake a Debt Management Performance Assessment (DEMPA) with assistance from the WB in 2021. Guinea-Bissau recently has and will continue to receive substantial technical assistance from the IMF and the WB to improve its reporting to the International Debt Statistics (IDS) and the Quarterly External Debt Statistics (QEDS).

AUTHORITIES' VIEWS

25. The authorities broadly concur with staff's views on debt sustainability and the recommendations. They agree that debt sustainability depends crucially on sound macroeconomic policies including a strong and sustained fiscal consolidation. They emphasized (i) their commitment to a sustained fiscal consolidation path and to limit non-concessional borrowing and (ii) that the pace of public investment would be determined by careful consideration of the project's critical contribution to growth, and alignment with the budget process, with improved coordination among the different agencies involved through a Debt Committee. The authorities recognize the risks to the debt outlook and have requested a Staff-Monitored Program (SMP) to build a strong track record of policy implementation to pave the way to an arrangement under the Extended Credit Facility (ECF) as soon as conditions allow.

Figure 1. Guinea-Bissau: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2021–31[1, 2]



Customization of Default Settings	Size	Interactions
Standardized Tests	Yes	
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price	Yes	No
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	0.8%	0.8%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	34	30
Avg. grace period	6	10

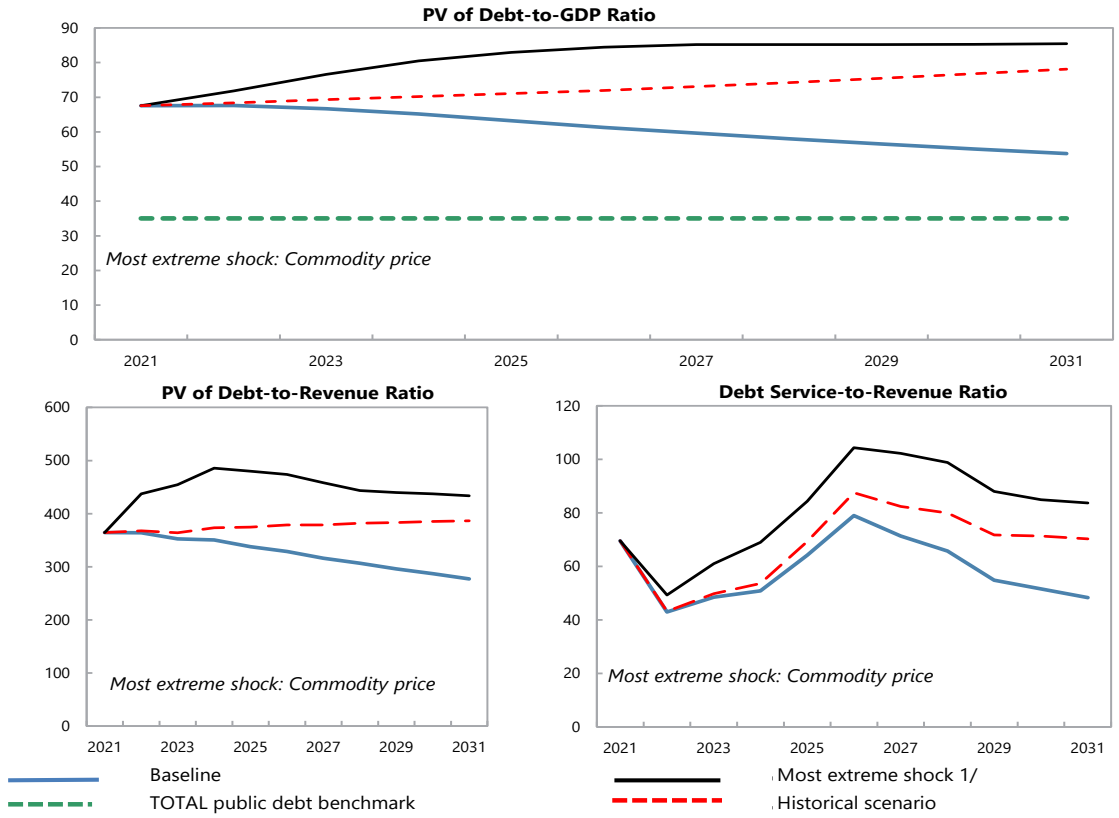
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Guinea-Bissau: Indicators of Public Debt Under Alternative Scenarios, 2021–31



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	11%	11%
Domestic medium and long-term	69%	69%
Domestic short-term	21%	21%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	0.8%	0.8%
Avg. maturity (incl. grace period)	34	30
Avg. grace period	6	10
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.2%	3.2%
Avg. maturity (incl. grace period)	5	5
Avg. grace period	3	3
Domestic short-term debt		
Avg. real interest rate	2.7%	2.7%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

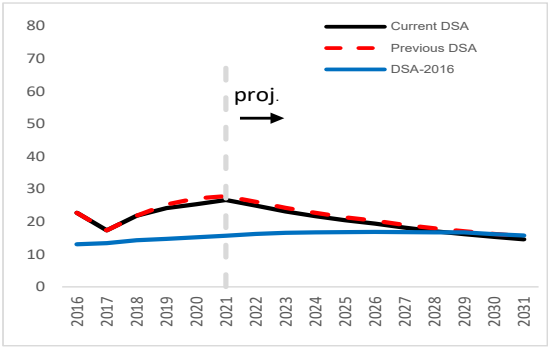
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

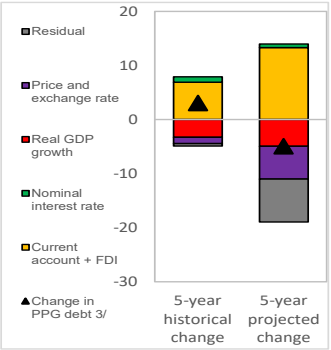
Figure 3. Guinea-Bissau: Drivers of Debt Dynamics - Baseline Scenario

External Debt

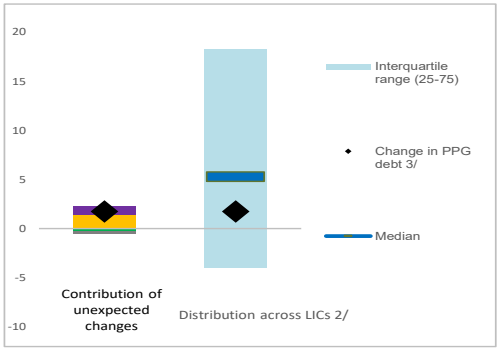
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

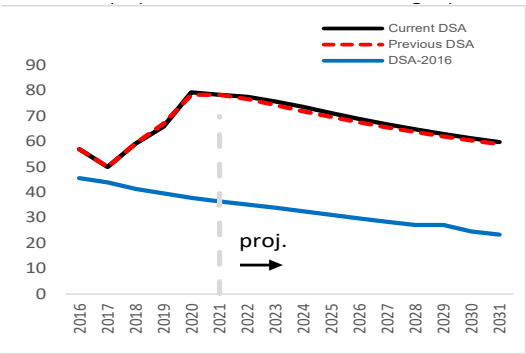


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

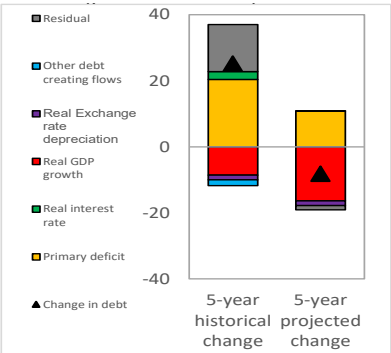


Public Debt

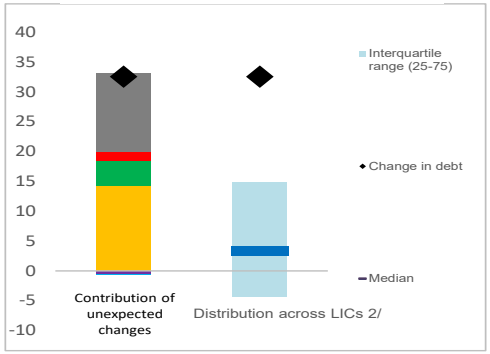
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



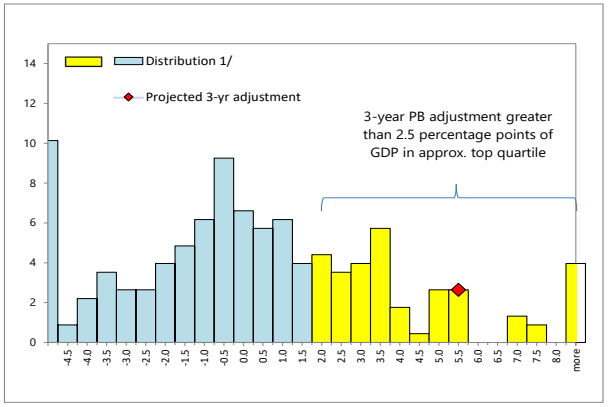
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

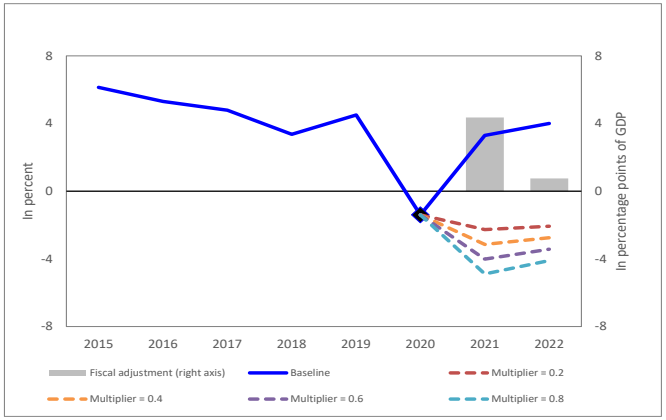
Figure 4. Guinea-Bissau: Realism tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



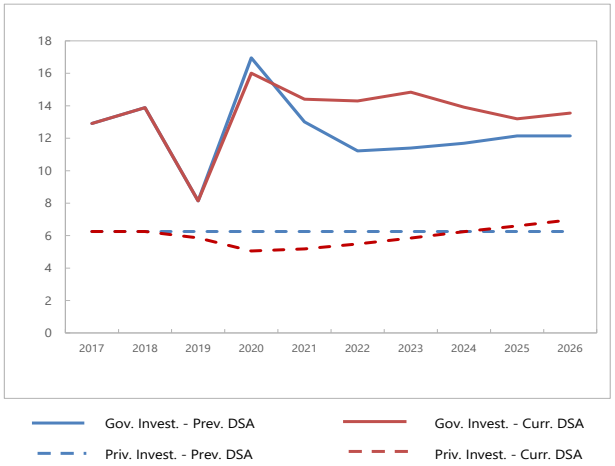
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

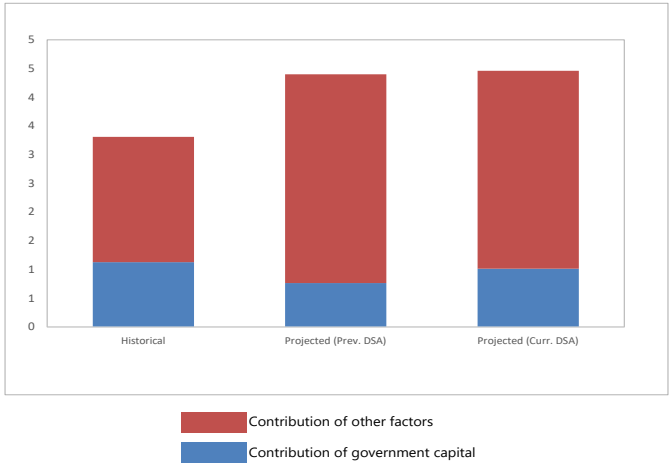
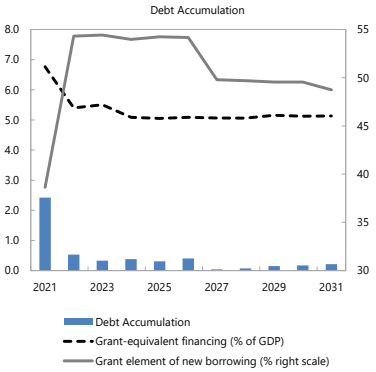


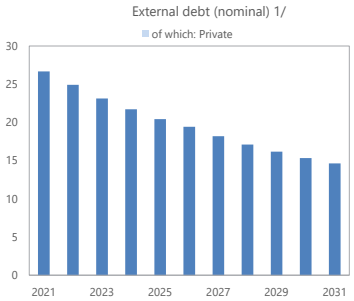
Table 1. Guinea-Bissau: External Debt Sustainability Framework, Baseline Scenario, 2018–41

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2031	2041	Historical	Projections
External debt (nominal) 1/	**21.8**	**24.2**	**25.4**	**26.7**	**24.9**	**23.1**	**21.7**	**20.4**	**19.4**	**14.6**	**11.9**	**23.0**	**19.8**
of which: public and publicly guaranteed (PPG)	**21.8**	**24.2**	**25.4**	**26.7**	**24.9**	**23.1**	**21.7**	**20.4**	**19.4**	**14.6**	**11.9**	**23.0**	**19.8**
Change in external debt	4.5	2.4	1.2	1.3	-1.8	-1.8	-1.4	-1.3	-1.0	-0.7	-0.2		
Identified net debt-creating flows	**1.8**	**4.6**	**6.6**	**4.6**	**1.8**	**0.9**	**1.0**	**0.8**	**0.7**	**0.9**	**0.5**	**-0.1**	**1.3**
Non-interest current account deficit	**3.3**	**8.4**	**7.2**	**7.4**	**4.3**	**3.6**	**3.6**	**3.4**	**3.2**	**3.2**	**2.6**	**2.7**	**3.8**
Deficit in balance of goods and services	5.2	14.6	16.3	16.0	13.6	12.8	12.2	11.8	11.5	11.1	8.9	**8.2**	**12.2**
Exports	25.8	20.3	15.2	16.6	16.6	16.4	16.2	15.9	15.5	13.7	10.0		
Imports	31.0	34.9	31.5	32.6	30.2	29.2	28.4	27.6	27.0	24.8	18.9		
Net current transfers (negative = inflow)	-5.0	-3.9	-7.0	-6.6	-7.0	-6.8	-6.2	-6.0	-5.8	-5.3	-4.1	**-4.9**	**-6.0**
of which: official	-1.2	-1.2	-1.4	-2.9	-3.1	-3.1	-2.7	-2.6	-2.6	-2.7	-2.4		
Other current account flows (negative = net inflow)	3.1	-2.3	-2.1	-2.0	-2.4	-2.4	-2.4	-2.4	-2.5	-2.5	-2.3	**-0.7**	**-2.4**
Net FDI (negative = inflow)	**-1.4**	**-5.0**	**-0.8**	**-2.3**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.9**	**-1.7**
Endogenous debt dynamics 2/	**-0.2**	**1.2**	**0.3**	**-0.5**	**-0.9**	**-1.0**	**-1.0**	**-0.9**	**-0.8**	**-0.6**	**-0.5**		
Contribution from nominal interest rate	0.3	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1		
Contribution from real GDP growth	-0.6	-1.0	0.3	-0.7	-1.0	-1.1	-1.1	-1.0	-0.9	-0.7	-0.6		
Contribution from price and exchange rate changes	0.1	2.0	-0.2	...	...	...	...	...	...	...	...		
Residual 3/	**2.7**	**-2.2**	**-5.5**	**-3.3**	**-3.5**	**-2.7**	**-2.4**	**-2.1**	**-1.7**	**-1.6**	**-0.7**	**-0.9**	**-2.3**
of which: exceptional financing	0.0	0.0	-0.2	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**15.7**	**16.0**	**15.1**	**14.1**	**13.3**	**12.6**	**12.0**	**8.7**	**7.2**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**103.3**	**96.8**	**91.4**	**86.2**	**82.4**	**79.2**	**77.3**	**63.3**	**72.0**		
PPG debt service-to-exports ratio	**2.1**	**2.4**	**4.6**	**4.5**	**4.3**	**5.4**	**5.2**	**5.5**	**5.1**	**5.9**	**4.6**		
PPG debt service-to-revenue ratio	**4.7**	**3.9**	**5.7**	**5.7**	**5.1**	**6.3**	**6.0**	**6.1**	**5.5**	**5.4**	**2.9**		
Gross external financing need (Million of U.S. dollars)	37.7	56.4	101.2	94.8	58.9	54.5	59.6	59.1	58.2	85.2	109.6		
Key macroeconomic assumptions													
Real GDP growth (in percent)	3.4	4.5	-1.4	3.3	4.0	5.0	5.0	5.0	5.0	5.0	5.0	**3.3**	**4.8**
GDP deflator in US dollar terms (change in percent)	-0.9	-8.5	1.0	9.4	5.2	4.2	3.7	3.4	3.3	2.9	2.9	**1.2**	**4.0**
Effective interest rate (percent) 4/	1.5	0.7	0.7	1.0	0.5	0.5	0.5	0.5	0.6	0.8	1.0	**0.8**	**0.7**
Growth of exports of G&S (US dollar terms, in percent)	3.5	-24.8	-25.3	23.2	9.4	8.4	7.4	6.5	5.6	4.8	3.6	**7.3**	**8.0**
Growth of imports of G&S (US dollar terms, in percent)	4.5	7.6	-10.0	16.9	1.3	6.0	5.9	5.6	5.9	5.8	3.5	**5.2**	**6.6**
Grant element of new public sector borrowing (in percent)	...	...	...	38.6	54.3	54.4	54.0	54.2	54.2	48.7	45.8	**...**	**50.6**
Government revenues (excluding grants, in percent of GDP)	11.6	12.5	12.1	13.1	13.7	14.0	14.2	14.3	14.2	14.8	15.9	**10.9**	**14.2**
Aid flows (in Million of US dollars) 5/	104.5	51.1	103.0	102.5	102.6	115.5	117.2	128.4	141.0	197.4	402.2		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	6.8	5.4	5.5	5.1	5.1	5.1	5.1	5.0	**...**	**5.3**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	75.5	92.2	91.7	90.3	90.2	89.8	89.8	89.9	**...**	**89.0**
Nominal GDP (Million of US dollars)	1,506	1,440	1,434	1,621	1,773	1,940	2,113	2,295	2,489	3,657	7,897		
Nominal dollar GDP growth	2.5	-4.4	-0.4	13.0	9.4	9.4	8.9	8.6	8.4	8.0	8.0	**4.7**	**8.9**
Memorandum items:													
PV of external debt 7/	...	...	15.7	16.0	15.1	14.1	13.3	12.6	12.0	8.7	7.2		
In percent of exports	...	...	103.3	96.8	91.4	86.2	82.4	79.2	77.3	63.3	72.0		
Total external debt service-to-exports ratio	2.1	2.4	4.6	4.5	4.3	5.4	5.2	5.5	5.1	5.9	4.6		
PV of PPG external debt (in Million of US dollars)			225.1	259.8	268.4	274.3	281.8	288.3	297.5	317.5	568.7		
(PVt-PVt-1)/GDPt-1 (in percent)				2.4	0.5	0.3	0.4	0.3	0.4	0.2	0.5		
Non-interest current account deficit that stabilizes debt ratio	-1.1	6.0	6.0	6.1	6.0	5.4	5.1	4.7	4.2	3.9	2.8		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Public sector external debt only. With respect to DSA 2018, coverage expanded to include legacy arrears.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief, including IMF CCRT 2020-2022); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 2. Guinea-Bissau: Public Sector Debt Sustainability Framework, Baseline Scenario, 2018–41

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2031	2041	Historical	Projections
Public sector debt 1/	**59.2**	**65.9**	**79.3**	**78.4**	**77.5**	**75.7**	**73.6**	**71.1**	**68.8**	**59.7**	**49.5**	**56.7**	**69.1**
of which: external debt	**21.8**	**24.2**	**25.4**	**26.7**	**24.9**	**23.1**	**21.7**	**20.4**	**19.4**	**14.6**	**11.9**	**23.0**	**19.8**
Change in public sector debt	9.1	6.7	13.4	-0.9	-0.9	-1.8	-2.1	-2.5	-2.3	-1.6	-0.7		
Identified debt-creating flows	**6.7**	**4.1**	**9.6**	**0.4**	**-0.9**	**-1.8**	**-2.1**	**-2.5**	**-2.3**	**-1.6**	**-0.7**	**0.3**	**-1.7**
Primary deficit	**4.3**	**2.8**	**7.8**	**3.4**	**2.7**	**2.1**	**1.6**	**1.0**	**0.9**	**0.7**	**0.9**	**3.0**	**1.4**
Revenue and grants	15.2	15.4	16.4	18.5	18.6	18.9	18.6	18.7	18.7	19.4	20.4	**15.5**	**18.9**
of which: grants	3.6	2.9	4.2	5.4	4.9	4.9	4.4	4.4	4.4	4.6	4.5		
Primary (noninterest) expenditure	19.5	18.2	24.2	22.0	21.3	21.1	20.2	19.7	19.6	20.1	21.3	**18.5**	**20.3**
Automatic debt dynamics	**2.6**	**0.9**	**1.0**	**-3.1**	**-3.5**	**-3.9**	**-3.7**	**-3.5**	**-3.2**	**-2.3**	**-1.6**		
Contribution from interest rate/growth differential	0.6	-0.7	2.6	-2.9	-3.1	-3.6	-3.4	-3.3	-3.0	-1.9	-1.3		
of which: contribution from average real interest rate	2.2	1.8	1.7	-0.4	-0.1	0.1	0.2	0.2	0.4	1.0	1.1		
of which: contribution from real GDP growth	-1.6	-2.5	0.9	-2.5	-3.0	-3.7	-3.6	-3.5	-3.4	-2.9	-2.4		
Contribution from real exchange rate depreciation	2.1	1.7	-1.6	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**-0.2**	**0.4**	**0.8**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.4**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	-0.2	0.0	0.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.5**	**2.6**	**3.8**	**-1.3**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**1.3**	**-0.3**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**68.6**	**67.5**	**67.6**	**66.7**	**65.2**	**63.2**	**61.3**	**53.8**	**44.8**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**419.7**	**364.6**	**364.1**	**352.4**	**350.4**	**337.9**	**328.7**	**277.2**	**219.3**		
Debt service-to-revenue and grants ratio 3/	**35.1**	**54.7**	**56.2**	**69.5**	**43.0**	**48.5**	**50.9**	**64.2**	**79.0**	**48.4**	**37.1**		
Gross financing need 4/	9.4	11.6	17.8	16.3	10.7	11.3	11.0	13.0	15.7	10.1	8.5		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	3.4	4.5	-1.4	3.3	4.0	5.0	5.0	5.0	5.0	5.0	5.0	**3.3**	**4.8**
Average nominal interest rate on external debt (in percent)	1.4	0.7	0.7	0.9	0.5	0.5	0.5	0.5	0.6	0.8	1.0	**0.8**	**0.7**
Average real interest rate on domestic debt (in percent)	7.4	5.7	4.2	0.3	1.0	1.1	1.1	1.2	1.3	2.1	2.8	**-0.9**	**1.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	12.4	8.0	-6.7	...	...	...	...	...	...	...	...	**0.4**	**...**
Inflation rate (GDP deflator, in percent)	-5.2	-3.5	-0.9	2.7	2.8	2.8	2.8	2.8	2.8	2.9	2.9	**2.7**	**2.8**
Growth of real primary spending (deflated by GDP deflator, in percent)	14.1	-2.0	30.5	-6.1	0.6	4.1	0.6	2.5	4.5	5.8	5.4	**9.2**	**3.1**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-4.9	-3.9	-5.6	4.4	3.5	3.9	3.7	3.5	3.2	2.3	1.6	**-4.8**	**3.2**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Currency-based. Includes external legacy arrears.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Guinea-Bissau: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2021–31

(In percent)

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of debt-to GDP ratio											
Baseline	16	15	14	13	13	12	11	10	10	9	9
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	16	15	14	13	12	12	11	10	9	8	8
B. Bound Tests											
B1. Real GDP growth	16	16	16	15	14	14	13	12	11	10	10
B2. Primary balance	16	15	14	14	13	12	12	11	10	10	9
B3. Exports	16	17	18	17	16	16	15	14	13	12	12
B4. Other flows 3/	16	17	18	17	17	16	15	14	13	12	12
B5. Depreciation	16	19	15	14	13	12	11	11	10	9	9
B6. Combination of B1-B5	16	19	19	18	17	17	15	15	14	13	12
C. Tailored Tests											
C1. Combined contingent liabilities	16	16	15	14	13	13	12	12	11	10	10
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	16	15	15	14	13	12	11	10	9	8	7
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	97	91	86	82	79	77	73	70	67	65	63
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	97	90	86	81	78	76	71	66	62	58	55
B. Bound Tests											
B1. Real GDP growth	97	91	86	82	79	77	73	70	67	65	63
B2. Primary balance	97	92	88	84	81	80	77	74	71	69	68
B3. Exports	97	120	**155**	**149**	**144**	**141**	135	129	125	121	119
B4. Other flows 3/	97	105	113	108	104	102	98	94	91	88	87
B5. Depreciation	97	91	72	68	66	64	60	57	54	52	51
B6. Combination of B1-B5	97	118	103	120	115	113	108	103	100	97	95
C. Tailored Tests											
C1. Combined contingent liabilities	97	95	91	87	84	83	81	78	75	73	73
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	97	92	89	85	80	77	71	65	60	55	51
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	140	140	140	140	140	140	140	140	140	140	140
Debt service-to-exports ratio											
Baseline	5	4	5	5	6	5	7	7	6	6	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	5	4	6	6	6	6	9	9	8	8	8
B. Bound Tests											
B1. Real GDP growth	5	4	5	5	6	5	7	7	6	6	6
B2. Primary balance	5	4	5	5	6	5	7	7	6	6	6
B3. Exports	5	5	8	8	8	8	**11**	**10**	10	9	9
B4. Other flows 3/	5	4	6	6	6	5	8	7	7	6	6
B5. Depreciation	5	4	5	5	5	5	7	7	6	6	6
B6. Combination of B1-B5	5	5	7	7	7	6	9	9	8	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	5	4	5	5	6	5	7	7	6	6	6
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	5	4	5	5	6	5	8	7	7	6	6
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	6	5	6	6	6	6	8	7	6	6	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	6	5	7	7	7	7	9	9	8	8	7
B. Bound Tests											
B1. Real GDP growth	6	5	7	7	7	6	9	8	7	7	6
B2. Primary balance	6	5	6	6	6	6	8	7	6	6	5
B3. Exports	6	5	7	6	7	6	8	8	7	6	6
B4. Other flows 3/	6	5	7	6	7	6	8	7	7	6	6
B5. Depreciation	6	6	8	7	7	7	9	9	8	7	7
B6. Combination of B1-B5	6	6	8	7	7	7	9	8	8	7	6
C. Tailored Tests											
C1. Combined contingent liabilities	6	5	6	6	6	6	8	7	6	6	6
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	6	6	8	7	7	6	8	7	7	6	6
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Guinea-Bissau: Sensitivity Analysis for Key Indicators of Public Debt, 2021–31

(In percent)

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of Debt-to-GDP Ratio											
Baseline	**68**	**68**	**67**	**65**	**63**	**61**	**60**	**58**	**56**	**55**	**54**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	**68**	**68**	**69**	**70**	**71**	**72**	**73**	**74**	**75**	**77**	**78**
B. Bound Tests											
B1. Real GDP growth	**68**	**73**	**79**	**79**	**79**	**79**	**78**	**78**	**78**	**78**	**78**
B2. Primary balance	**68**	**70**	**72**	**70**	**68**	**66**	**64**	**62**	**61**	**59**	**58**
B3. Exports	**68**	**69**	**70**	**69**	**67**	**65**	**63**	**61**	**59**	**58**	**56**
B4. Other flows 3/	**68**	**70**	**71**	**69**	**67**	**65**	**63**	**62**	**60**	**58**	**57**
B5. Depreciation	**68**	**68**	**66**	**63**	**61**	**58**	**56**	**54**	**52**	**50**	**48**
B6. Combination of B1-B5	**68**	**68**	**69**	**67**	**65**	**63**	**62**	**60**	**59**	**57**	**56**
C. Tailored Tests											
C1. Combined contingent liabilities	**68**	**78**	**77**	**75**	**73**	**71**	**69**	**67**	**65**	**63**	**62**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**68**	**72**	**77**	**81**	**83**	**84**	**85**	**85**	**85**	**85**	**85**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	365	364	352	350	338	329	316	307	296	287	277
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	365	368	364	374	375	379	379	382	383	385	387
B. Bound Tests											
B1. Real GDP growth	365	385	403	412	408	407	402	400	395	393	389
B2. Primary balance	365	376	379	376	363	353	340	329	318	308	297
B3. Exports	365	371	372	369	356	346	333	323	311	302	291
B4. Other flows 3/	365	376	375	373	359	349	336	326	314	304	294
B5. Depreciation	365	374	354	347	331	317	302	289	275	263	250
B6. Combination of B1-B5	365	366	365	360	348	339	327	318	307	298	288
C. Tailored Tests											
C1. Combined contingent liabilities	365	423	408	405	391	380	365	354	341	330	318
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	365	437	455	486	480	474	458	444	440	437	434
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	70	43	49	51	64	79	71	66	55	52	48
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	70	43	50	54	69	88	82	80	72	71	70
B. Bound Tests											
B1. Real GDP growth	70	45	55	59	75	93	88	86	75	73	71
B2. Primary balance	70	43	52	56	67	84	81	74	59	55	54
B3. Exports	70	43	49	51	64	79	72	66	55	52	49
B4. Other flows 3/	70	43	49	51	65	79	72	66	55	52	49
B5. Depreciation	70	41	48	49	62	76	68	63	53	50	47
B6. Combination of B1-B5	70	42	49	53	66	80	74	69	57	54	51
C. Tailored Tests											
C1. Combined contingent liabilities	70	43	63	57	68	98	96	78	62	61	62
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	70	49	61	69	84	104	102	99	88	85	84
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.